



Insurance

INSURANCE FOR THE LIVING

INTERIM FINANCIAL STATEMENTS

31 DECEMBER 2018



Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Three Months Ended 31 December

		Three Months Ended 31 December 2018 Unaudited	Three Months Ended 31 December 2017 Unaudited
	<u>Note</u>	Rs	Rs
Revenue		<u>441,795,847</u>	<u>386,074,148</u>
Gross written premium	3	389,414,098	348,351,118
Premium ceded to reinsurers	3	<u>(12,654,002)</u>	<u>(8,385,354)</u>
Net written premium		376,760,096	339,965,764
Other Revenue			
Fee and Commission Income	3	5,986,286	5,561,526
Income from investments	5	42,924,502	39,254,185
Realise Gain	3	13,823,318	(698,139.00)
Other Income	3	<u>2,301,646</u>	<u>1,990,812</u>
Total Other revenue		65,035,752	46,108,384
Net Income		441,795,847	386,074,148
Net insurance benefits and claims paid		(70,834,929)	(38,451,544)
Net change in insurance claims outstanding		(1,200,445)	(660,865)
Underwriting and Net Acquisition Costs		(144,502,873)	(104,888,432)
Change in Contract Liabilities - Life Fund		(72,921,714)	(19,497,784)
Other operating and administrative expenses		<u>(78,432,760)</u>	<u>(60,198,090)</u>
Net benefits and claims		(367,892,721)	(223,696,715)
Profit/(Loss) before tax		<u>73,903,127</u>	<u>162,377,433</u>
Income tax expense		-	-
Profit/(Loss) for the Period		<u>73,903,127</u>	<u>162,377,433</u>

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Three Months Ended 31 December

		Three Months Ended 31 December 2018 Unaudited	Three Months Ended 31 December 2017 Unaudited
	Notes	Rs	Rs
Profit / (Loss) for the year		73,903,127	162,377,433
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		(10,151,067)	35,504,538
Fair value movement of AFS reserve transferred to life fund		10,151,067	(35,504,538)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	-
Other Comprehensive Income		-	-
Total Comprehensive Income for the Period		73,903,127	162,377,433

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC

STATEMENT OF COMPREHENSIVE INCOME

For the Year Ended 31 December 2018

		Year Ended 31 December 2018 Unaudited	Year Ended 31 December 2017 Audited
	<u>Note</u>	Rs	Rs
Revenue		1,586,409,803	1,187,495,133
Gross written premium	3	1,391,240,658	1,038,085,079
Premium ceded to reinsurers	3	(41,327,272)	(28,370,148)
Net written premium		1,349,913,386	1,009,714,931
Other Revenue			
Fee and Commission Income	3	26,208,766	8,064,174
Income from investments	5	189,529,047	163,757,872
Realise Gain	3	13,823,318	85,349
Other Income	3	6,935,286	5,872,807
Total Other revenue		236,496,417	177,780,202
Net Income		1,586,409,803	1,187,495,133
Net insurance benefits and claims paid		(164,148,852)	(117,741,823)
Net change in insurance claims outstanding		(4,797,718)	(2,015,224)
Underwriting and Net Acquisition Costs		(563,453,833)	(352,294,910)
Change in Contract Liabilities - Life Fund		(408,433,797)	(280,513,648)
Other operating and administrative expenses		(323,482,763)	(228,916,314)
Net benefits and claims		(1,464,316,962)	(981,481,919)
Profit/(Loss) before tax		122,092,840	206,013,214
Income tax expense		-	-
Profit/(Loss) for the Period		122,092,840	206,013,214

Arpico Insurance PLC

STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Year Ended 31 December 2018

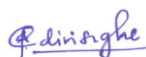
		Year Ended 31 December 2018 Unaudited	Year Ended 31 December 2017 Audited
	Notes	Rs	Rs
Profit / (Loss) for the year		122,092,840	206,013,214
Other Comprehensive Income			
Other comprehensive income to be reclassified to profit or loss in subsequent periods			
Net change in fair value of available-for-sale assets		9,319,796	18,895,495
Fair value movement of AFS reserve transferred to life fund		(9,319,796)	(18,895,495)
Other comprehensive income not to be reclassified to profit or loss in subsequent periods			
Re-measurement gain on defined benefit Plan		-	(1,033,916)
Other Comprehensive Income		<u>-</u>	<u>(1,033,916)</u>
Total Comprehensive Income for the Period		<u>122,092,840</u>	<u>204,979,298</u>

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

Arpico Insurance PLC
STATEMENT OF FINANCIAL POSITION
As at 31 December 2018

	Notes	31-Dec-18 Unaudited Rs.	31-Dec-17 Audited Rs.
Assets			
Property, Plant and Equipment		63,349,497	57,597,796
Financial Assets	7	2,028,265,790	1,346,980,154
Loans to Life Policy Holders		228,616,921	157,711,170
Reinsurance Receivable		26,939,303	20,702,073
Amounts due from related party		26,907,609	181,589
Premium Receivable		76,879,937	105,775,413
Other Assets		96,686,268	94,318,212
Cash and Cash Equivalents		170,774,015	320,778,531
Total Assets		2,718,419,340	2,104,044,938
Equity and liabilities			
Shareholders' Equity			
Stated capital		675,564,870	675,564,870
Revenue Reserves		379,724,995	257,632,154
Total Shareholders' Equity		1,055,289,865	933,197,024
Liabilities			
Insurance Provision - Life	8	1,424,571,000	1,025,457,000
Employee Benefit Obligation		9,613,373	6,568,317
Reinsurance Creditors		50,022,714	30,859,018
Amounts Due to Related Party	10	7,184,537	9,694,866
Financial Liabilities		115,608,797	72,456,338
Other liabilities		56,129,054	25,812,375
Total Liabilities		1,663,129,475	1,170,847,914
Total Liabilities and Shareholders' Equity		2,718,419,340	2,104,044,938

These Financial Statements are prepared in compliance with the requirements of the Companies Act No. 07 of 2007.



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Manager Finance
(Iroshini Edirisinghe)

The Board of Directors is responsible for the preparation and presentation of these financial statements. Signed for and on behalf of the board.



.....
Director
(Viville Perera)



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Director
(Shiron Gooneratne)

The accounting policies and notes as set out in pages 8 to 12 form an integral part of these financial statements.

27 February 2019
Colombo

Arpico Insurance PLC

STATEMENT OF CASH FLOW
For the Year Ended 31 December 2018

	Notes	2018 Rs.	2017 Rs.
Operating activities			
Premium received from customers		1,420,136,133	971,801,135
Payment to ReInsurer		(22,163,576)	(29,745,905)
Claims paid		(187,608,304)	(101,926,995)
Cash received from Reinsurer		22,232,576	1,568,695
Payment to suppliers and others		(667,148,244)	(441,325,774)
Cash Inflow from Operating Activities		565,448,585	400,371,156
Tax Paid		(8,150,640)	(10,180,171)
Net Cash Flows from Operating Activities		557,297,945	390,190,985
Investing activities			
Purchase of property and equipment		(26,016,827)	(47,847,206)
Disposal of Property Plant and Equipment		-	-
Net drawdown of Investments		(681,285,636)	(101,577,404)
Net cash flows used in investing activities		(707,302,463)	(149,424,610)
Financing Activities			
Proceeds from Share issue		-	-
Stamp Duty on Share Allotment		-	-
Dividend payment		-	(26,492,162)
Net cash flows used in financing activities		-	(26,492,162)
Net (decrease)/increase in cash and cash equivalents		(150,004,518)	214,274,213
Cash and cash equivalents at 1 January		320,778,531	106,504,318
Cash and cash equivalents at 31 December		170,774,014	320,778,531
Analysis of Cash and Cash Equivalents			
Favourable Balances			
Cash at Hand		426,875	276,266
Cash at Bank		170,347,140	112,796,158
Short Term Investments		-	207,706,107.00
		170,774,014	320,778,531
Unfavourable Balances			
Bank Overdrafts		-	-
Total Cash and Cash Equivalents		170,774,014	320,778,531

Arpico Insurance PLC

STATEMENT OF CHANGES IN EQUITY

For the Year Ended 31 December 2018

	Stated Capital Rs.	AFS reserve Rs.	Revenue Reserve Rs.	Total Rs.
Balance as at 1 January 2017	675,564,870	-	79,145,018	754,709,888
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	37,689,853	37,689,853
Dividend Declared			(26,492,163)	(26,492,163)
Unaudited Balance as at 31 December 2017	675,564,870	-	90,342,708	765,907,578
Issue of share capital	-	-	-	-
Share Issue Expenses	-	-	-	-
Dividend Declared	-	-	-	-
Other Comprehensive Income	-	-	(1,033,916)	(1,033,916)
Net profit for the period	-	-	168,323,360	168,323,360
Audited Balance as at 31 December 2017	675,564,870	-	257,632,153	933,197,022
Issue of share capital	-	-	-	-
Other Comprehensive Income	-	-	-	-
Net profit for the period	-	-	122,092,840	122,092,840
Dividend Declared	-	-	-	-
Unaudited Balance as at 31 December 2018	675,564,870	-	379,724,994	1,055,289,863

Arpico Insurance PLC
Notes to Interim Financial Statements

- Figures in the these Condensed Interim Financial Statements for the period ended 31st December 2018 are provisional and unaudited.
- The Condensed Interim Financial Statements have been prepared in accordance with Sri Lanka Accounting and Auditing Standards, which requires compliance with Sri Lanka Accounting Standards promulgated by the Institute of Chartered Accountants of Sri Lanka (CA-Sri Lanka) and comply with the requirements of the Companies Act, No. 7 of 2007 and the Regulation of Insurance Industry Act, No. 43 of 2000 and the listing rules of the Colombo Stock Exchange. The same accounting policies and methods of computation as stated in the Audited Financial Statements - 2017 have been followed in preparation of these Condensed Interim Financial Statements. Comparative information have been re-valued/re-classified where necessary, to conform to the current period recognition, measurement and presentations.

		Twelve Months Ended 31 December Unaudited 2018 Rs	Twelve Months Ended 31 December Audited 2017 Rs	Three Months Ended 31 December Unaudited 2018 Rs	Three Months Ended 31 December Unaudited 2017 Rs
3. REVENUE					
	Notes				
Gross Written Premium	4(a)	1,391,240,658	1,038,085,079	389,414,098	348,351,118
Premium Ceded to Reinsurers	4(b)	(41,327,272)	(28,370,148)	(12,654,002)	(8,385,354)
Net Written Premium		1,349,913,386	1,009,714,931	376,760,096	339,965,764
Fees and commission income		26,208,766	8,064,174	5,986,286	5,561,526
Investment income		189,529,047	163,757,872	42,924,502	39,254,185
Other operating revenue		6,935,286	5,872,807	2,301,646	1,990,812
Realise Gain		13,823,318	85,349	13,823,318	(698,139)
Total Revenue		1,586,409,803	1,187,495,133	441,795,847	386,074,148
4. NET WRITTEN PREMIUMS					
4(a) Gross premiums on insurance contracts					
Conventional Policies		1,391,240,658	1,038,085,079	389,414,098	348,351,118
Total gross written premiums		1,391,240,658	1,038,085,079	389,414,098	348,351,118
4 (b). Premiums ceded to reinsurers on insurance contracts					
Conventional Policies		(41,327,272)	(28,370,148)	(12,654,002)	(8,385,354)
Total premiums ceded to reinsurers		(41,327,272)	(28,370,148)	(12,654,002)	(8,385,354)
Total net written premiums		1,349,913,386	1,009,714,931	376,760,096	339,965,764
5. INVESTMENT INCOME					
Available-for-sale financial assets					
Interest income		62,528,313	50,955,485	12,986,027	(1,256,943)
Loans and receivables interest income		127,000,734	112,802,387	29,938,475	40,511,128
Total investment income		189,529,047	163,757,872	42,924,502	39,254,185

Arpico Insurance PLC

Notes to Interim Financial Statements

6. EARNINGS /(LOSS) PER SHARE

Basic earnings per share amounts is calculated by dividing the net profit/ loss for the year attributable to ordinary shareholders of the parent by the weighted average number of ordinary shares outstanding at the reporting date.

	Twelve Months Ended 31 December Unaudited 2018 Rs	Twelve Months Ended 31 December Audited 2017 Rs
Profit /(Loss) for the year	122,092,840	206,013,214
Weighted Average Number of Ordinary Shares (Nos)	66,230,407	66,230,407
Basic earnings / (loss) per ordinary share Rs	1.84	3.11

There have been no other transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of completion of these financial statements.

7. FINANCIAL ASSETS

The Company's financial instruments are summarised by categories as follows:

	31-Dec-18 Unaudited Rs	31-Dec-17 Audited Rs
Loans and receivables	1,507,403,916	1,025,127,561
Available-for-sale financial assets	520,861,874	321,852,593
Total financial instruments	2,028,265,790	1,346,980,154

The following table consists of the fair values of the financial investments together with their carrying values.

	31-Dec-18 Carrying value Unaudited Rs	31-Dec-18 Fair value Unaudited Rs	31-Dec-17 Carrying value Audited Rs	31-Dec-17 Fair value Audited Rs
Loans and receivables	7 (a). 1,507,403,916	1,507,403,916	1,025,127,561	1,025,127,561
Available-for-sale financial assets	7 (b). 520,861,874	520,861,874	321,852,593	321,852,593
Total financial instruments	2,028,265,790	2,028,265,790	1,346,980,154	1,346,980,154

7 (a). Loans and receivables

	31-Dec-18 Unaudited Rs	31-Dec-17 Audited Rs
Investment in Corporate Debt	754,152,042	584,079,538
Investment in Fixed Deposit	342,069,406	120,983,216
Investment in Repos	397,985,002	360,064,808
Investment in Commercial Papers	53,197,466	
	1,547,403,916	1,065,127,561
Provision for Impairment	(40,000,000)	(40,000,000)
	1,507,403,916	1,025,127,561

7 (b). Available for sale financial assets

	31-Dec-18 Unaudited Rs	31-Dec-17 Audited Rs
Investments in Government Securities	520,861,874	321,852,593
	520,861,874	321,852,593

8. INSURANCE CONTRACT LIABILITIES		31-Dec-18 Unaudited Rs	31-Dec-17 Audited Rs
Balance as at beginning			
Change in contract liabilities life fund		1,025,457,000	726,047,856
Increase in Life insurance fund before surplus transfer	8 (a)	464,832,195	436,459,576
Surplus transferred from share holders		(56,398,398)	(155,945,927)
Increase in Life insurance fund		408,433,797	280,513,649
Movement in AFS reserve transferred to life fund		(9,319,796)	18,895,495
Balance as at end of the Periods		1,424,571,000	1,025,457,000

8 (a) Increase in Life insurance fund before surplus transfer

2018 December (Unaudited)			
	Gross Insurance Contract Liabilities Rs	Reinsurance on Insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,391,240,658	(41,327,272)	1,349,913,386
Liabilities paid for death, benefits and claims	(197,416,375)	28,469,805	(168,946,570)
Underwriting and Net Acquisition Costs	(563,453,833)		(563,453,833)
Fees (deducted)/received	33,144,052		33,144,052
Investment return	123,832,604		123,832,604
Realise Gain	13,823,318		13,823,318
Other operating and administrative expenses	(323,480,762)		(323,480,762)
As at 31 December 2018	477,689,662	(12,857,467)	464,832,195

2017 December (Audited)			
	Gross Insurance Contract Liabilities Rs	Reinsurance on insurance contract liabilities Rs	Net Insurance Contract Liabilities Rs
Premiums received	1,038,085,079	(28,370,148)	1,009,714,932
Liabilities paid for death, benefits and claims	(145,195,117)	25,438,070	(119,757,047)
Underwriting and Net Acquisition Costs	(352,294,910)	-	(352,294,910)
Fees (deducted)/received	13,936,980	-	13,936,980
Investment return	114,709,199	-	114,709,199
Realise Gain	85,349	-	85,349
Other operating and administrative expenses	(229,934,931)	-	(229,934,931)
As at 31 December 2017	439,391,651	(2,932,077)	436,459,576

INSURANCE CONTRACT LIABILITIES - LIFE

The valuation of the Insurance Contract Liabilities have been carried out by the consultant Actuaries for the year ended 31st December 2018 and based on that adequate provisions have been made in these Condensed Consolidated Interim Financial Statements.

Liability Adequacy Test (LAT)

The Company carried out a Liability Adequacy Test (LAT) for the period ended 31 st December, 2018 in respect of Life Insurance Contract Liabilities (Insurance Provisions) as required by SLFRS 4 - Insurance Contracts with the assistance of an Independent Consultatant M/S Acturial Partners. Based on that valuation,the recorded liabilities are adequate to meet future obligations arising from Life Insurance Contracts in light of estimated future cash flows.

Arpico Insurance PLC

Notes to Interim Financial Statements

9. TAXATION

Arpico Insurance PLC is liable for income tax at 28% (2017 -28%)

The taxation basis of life insurance business changed from 01 April 2018 with the coming into effect of the Inland Revenue Act No. 24 of 2017 where a surplus based taxation basis is adopted replacing what was commonly known as "I-E" basis of taxation. However, the profits of Life Shareholders' fund will be taxed along a basis of "I-E".

10. AMOUNTS DUE TO RELATED PARTY

Related Party	Relationship	31-Dec-18 Unaudited Rs	31-Dec-17 Audited Rs
Richard Pieris & Company PLC	Ultimate Parent	-	-
Richard Pieris Distributors Limited	Affiliate	4,768,637	7,212,260
Arpitech (pvt) Ltd	Affiliate	467,980	1,040,633
Richard Pieris Finance Limited	Affiliate	1,246,811	-
Arpico Interiors (Pvt) Ltd	Affiliate	701,109	1,441,973
RPC Logistics (Pvt) Ltd	Affiliate	-	-
		<u>7,184,537</u>	<u>9,694,865</u>

11. CONTINGENT LIABILITIES

Contingent liabilities are not recognized in the Statement of Financial Position but disclosed if there is a possible future obligation as a result of a past event or if there is a present obligation as a result of a past event but either a payment is not probable or the amount cannot be reasonably estimated as at the date of Statement of Financial Position. As at the 31st December 2018, end of the interim period no material capital commitment and contingencies approved by the board and contracted for which no provision has been made in interim financial statements.

12. EVENTS OCCURRING AFTER THE REPORTING DATE

The directors give due consideration to and where necessary adjustments or disclosures are made in the current Financial Statements in respect of material post Statement of financial position events as appropriate. There have been no material event occurring after the reporting date that require adjustments to or disclosure in the interrim financial statements.

Arpico Insurance PLC

Notes to Interim Financial Statements

For the Twelve months Ended 31 December

Share Information

Top 20 Shareholders

Name of the Shareholder

	As at 31st December 2018	
	<u>Shareholding</u>	<u>% on Issued Shares</u>
1 KEGALLE PLANTATIONS LIMITED	26,685,001	40.29
2 RICHARD PIERIS DISTRIBUTORS LIMITED	17,790,001	26.86
3 RICHARD PIERIS AND CO PLC	15,125,001	22.84
4 MR.J.P.PAUL	1,498,283	2.26
5 MR.C.S.N.SILVAPULLE	668,399	1.01
6 MR.H.V.SENAWEERA	440,053	0.66
7 MR.S. SIVASHANTH	400,000	0.60
8 MRS.M.P.B.FERNANDO	400,000	0.60
9 MR.A.P.ARUMUGAMPILLAI	200,000	0.30
10 MR.B.A.R.DISSANAYAKE	200,000	0.30
11 MERCHANT BANK OF SRI LANKA & FINANCE PLC/S	154,999	0.23
12 MRS.M.S.E.V.E.A.U. VON STUMM	150,000	0.23
13 PEOPLES LEASING & FINANCE PLC/MR.K.J.GAMAGE	150,000	0.23
14 MR.F.N.HERFT	143,811	0.22
15 MR.M.L.A.BENEDICT	122,890	0.19
16 MR.M.D.C.P.K.GUNATHILAKE	103,850	0.16
17 MR.S.A.OBEYESEKERE	103,300	0.16
18 FLYBRUNEI SDN BHD	99,700	0.15
19 MR.P.B.PERERA	88,544	0.13
20 MR.T.A.N.GOMIS	82,219	0.12
	<u>64,606,051</u>	<u>97.54</u>

Public Shareholding

	As at 31st December 2018	
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shares	<u>6,630,404</u>	<u>10.01</u>
	<u>No. of Shares</u>	<u>% on Issued Shares</u>
Number of Shareholders	<u>633</u>	<u>99.37</u>

Directors' Shareholdings

There is no share holding by the directors as at As at 31st December 2018

Number of Shares

No. of shares representing the Stated Capital	66,230,407
Class of Share	Ordinary
Voting Rights	One vote per Ordinary Share

Share Performance

Net Asset Value Per Share as at As at 31st December 2018	15.9
Highest Price Per Share for the Interim Period	19.6
Lowest Price Per Share for the Interim Period	17.0
Last traded Price Per Share as at As at 31st December 2018	18.3